isting Jeevan Pramaan, the biometric enabled digital service with which annuity recipients can declare their proof of existence, the authentication of life will make the process of shifting from NPS to annuity in a smooth and seamless manner.

DIGITAL LENDING NORMS

When it comes to lending, often scams, malpractices, mis-selling, data breaches and unethical recovery practices come into light much after they have occurred. To protect customers, the Reserve Bank of India (RBI) recently released digital lending norms. The norms are intended to curb illegal activities, and mitigate concerns arising from credit delivery by digital platforms. The new rules are only applicable to RBI-regulated entities and loan providers. It mandates platforms to disclose all-inclusive cost of digital loans to borrowers and bar the lenders from automatically increasing credit limits without the borrower's consent.

These norms are necessary to protect the interest of the borrowers and to ensure that the money cycle is taking place through legitimate platforms. Further, proper KYC should be in place and audit mechanism to ensure fair practices are followed. The entities engaged in digital credit delivery have time till November 30 to comply with the norms for existing digital loans. For new as well as existing customers availing fresh loans, the norms will be applicable with immediate effect.

This is not the first time the RBI has raised concerns over digital lending platforms. In June 2020, it had come out with a note on digital lending and had advised that digital lending platforms will disclose the name of bank or NBFC on whose behalf they are providing credit upfront. To ensure clarity of which entity was underwriting the loan and if it was being regulated, digital lending was brought under regulations. It also made NBFCs and banks, which had allowed such loans through platforms, accountable as they could not claim oversight when it came to malpractices.

SEVERAL THIRD-PARTY PLATFORMS OFTEN DO NOT HAVE PRODUCTS OFFERED BY ALL INSURERS, MAKING IT A TASK FOR BUYERS TO SEARCH FOR PRODUCTS INDIVIDUALLY

IRDAI MOOTS DIGITAL PLATFORM

The IRDAI has proposed to set up a digital platform for sale of all types of insurance products. Tentatively named Bima Sugam, the idea behind the move is to make policy buying easy, convenient and also cut commissions. The platform would be fully digitally-enabled to have electronic forms, digital transactions and dematerialisation of policies.

At a time when every insurer has a digital arm and there are several third-party aggregator websites that sell insurance, this move by the regulator is likely to have products from all insurers. Several third-party platforms often do not have products offered by all insurers, making it a task for buyers to search for products individually. But, for a late entrant, there would be stiff competition from existing platforms, brokers and web aggregators who have been offering such services successfully for a longer period.

However, a differentiator would be lower commissions paid out on products sold from this platform, as all insurers would be directly selling on this platform. Policyholders directly dealing with the regulator-promoted platform would be able to evade nosy agents and relationship managers, who keep chasing people to sell a policy and later spam them by offering more products. Prospective policy buyers can look forward to this development which is in their favour. ■

–Narayan Krishnamurthy

BORROWERS BEWARE

- Don't pay any fees or any other additional charges to the Lending Service Provider (LSP)
- Credit limit cannot be increased without the explicit consent of the borrower
- The loan agreement should contain a cooling-off period during which borrowers can exit digital loans by paying the principal and the proportionate APR (annual percentage rate) without any penalty
- To raise their grievances and complaints, borrowers can reach out to nodal grievance redress officers engaged by the regulated entities and the LSPs. (The details of the officers can be found on the websites of regulated entities and LSPs and lending apps
- A borrower can also complain against their digital lending mobile app
- The complaint should be resolved within 30 days; in case it's not, the borrower can directly reach out to RBI
- Digital lending apps cannot collect user data without explicit consent of the borrower and such data collection should be need-based and show clear audit trails
- A borrower will have the option to accept or deny consent for the use of specific data, including the option to revoke previously granted consent, besides an option to delete the data collected from borrowers by the lending apps or LSPs